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# Principles for Responsible Exits in Gender Lens Investing (GLI)

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# Principles for Responsible Exits in Gender Lens Investing (GLI)

Gender lens investors have gone the extra mile to build a portfolio of enterprises that create women's economic empowerment outcomes through women's representation in business ownership, leadership, among employees and suppliers, as well as through products and services benefitting women.

Exits from equity investments in GLI funds in the emerging markets are relatively recent – giving rise to questions on how these funds can ensure that their women's empowerment outcomes are preserved and scaled post exits.

These global Principles for Responsible Exits in Gender Lens Investing have been shaped by practical insights from investors and women entrepreneurs across global markets.

### Principle 1:

We will ensure that gender is one of the key value driver of the investee company. *(internal)*

#### Actionable Guidance in Brief

- Incorporate a gender action plan into your standard value creation process.
- Tie gender KPIs/milestones to the performance incentives for investees.

### Principle 2:

We will stand behind the female founders and the leadership team. *(internal)*

#### Actionable Guidance in Brief

- Protect founder's interest in the cap table, and create diversity in leadership and ownership with intentionality
- Manage founder/CEO transition responsibly, ensuring fair outcomes for the female founders and the leadership team at exit.

### Principle 3:

We will challenge gender biases in valuations of the female economy. *(external)*

#### Actionable Guidance in Brief

- Scrutinize gender biases in valuation at entry and at exit, critically assess assumptions in valuation models with a gender lens
- Advocate fair valuation of businesses in the female economy.

### Principle 4:

We will ensure buyer's gender alignment at the time of exit. *(external)*

#### Actionable Guidance in Brief

- Seek out buyers who are committed to gender-smart investing and conduct due diligence with gender lens.
- Explore ways to bring women on the cap table and consider management/employee buyout as an option

Promote positive media narrative on female founders and take public stance to support your investees



# Actionable Guidance in Detail

# Principle 1:

## Actionable Guidance

We will ensure that gender is one of the key value drivers of the investee company. *(internal)*

### 1. PRE-INVESTMENT

Incorporate a gender action plan into your standard value creation process.

- Examine gender gaps and opportunities to create value through the integration of a gender lens to increase revenues, improve operational efficiency, retain talent or increase bottom line.

Tie gender KPIs/milestones to the performance incentives for investees.

- Structure in a ratchet that adjusts entry share price (or discount on entry share price for convertible notes) if gender KPIs/milestones are met.
- Link the GP's carry to gender outcomes
- GPs/LPs: Consider a reduced hurdle rate tied to gender KPIs/milestones, an increased management fee or separate cost coverage / TA to enable investments in gender-smart practices
- Agree on gender-smart reporting requirements based on sex-disaggregated data and measuring progress against gender KPIs and milestones.
- Make updates on gender-smart activities, KPIs and milestones part of the regular Board or LPAC meeting agenda

### 2. AT THE TIME OF INVESTMENT

Tie gender KPIs/milestones to the performance incentives for investees.

- Codify gender KPIs and milestones, and integrate incentives and levers ("carrots and sticks") into legal agreements and investment documentation (akin to how ESG has been mainstreamed). Alternatively, consider non-binding agreements in the form of a memorandum of understanding (MOU) or ask the investee (or fund manager) to make a pledge to achieve certain gender outcomes.
- Explicitly incorporate a zero-tolerance stance against any form of discrimination against women in the legal agreement or relevant annexes such as the Responsible Investing Codes, ideally making reference to compliance with the UN Convention on the Elimination of all Forms of Discrimination Against Women (CEDAW), which provides explicit contractual obligations for investees to adhere to equal pay and benefits, fair recruitment and promotion processes, and gender equity during individual or collective dismissal.
  - Incorporate safeguarding clauses prohibiting sexual harassment and gender-based violence and harassment (GBVH), including specific investor rights to exit from, or, be excused from follow-on investments in the event of a serious incident. ([ILO C190 on Violence and Harassment Convention, 2019](#) can be used as a reference.)
  - Require the establishment of a GBVH risk management system within a reasonable timeframe (12-18 months) including a grievance mechanism in local languages that is actually used in practice and has best-practice response mechanisms (=> See guidance: [Addressing Gender-Based Violence and Harassment: Emerging Good Practice for the Private Sector](#))
  - Require immediate reporting to the investor following any allegations of sexual harassment, GBVH, or other safeguarding issues affecting women and girls, such as modern slavery or child exploitation and abuse in accordance with the established GBVH risk management system.

# Principle 1:

## Actionable Guidance

We will ensure that gender is a key value driver of the investee company. *(internal)*

### 3. DURING INVESTMENT

Incorporate a gender action plan into your standard value creation process.

- Incorporate a gender action plan into your standard value creation plan, such as a 100-day plan with specific actions to achieve gender KPIs/milestones as well as a longer-term action plan over 12-24 months. Tie milestones to conditions precedent and conditions subsequent to investment within a specific time period. (→ for guidance: [Designing a GLI Action Plan](#))
- Embed gender-smart objectives in the company's mission, purpose and values that will outlive changes in ownership, and intentionally create a culture of gender equality and JEDI (justice, equity, diversity & inclusion) (→ See [JEDI toolkit](#))
- Implement gender-smart practices into the company's operations and policies to unlock the value of female economy, focus on gender impact along the [2X criteria](#) (ownership, leadership, employment, supply chain, customers/markets, product design), structurally build gender-smart practices into the business so they are part of the DNA and hard to unwind. Put gender-smart policies in the highest possible hierarchy of policies so they can only be changed with e.g. Board or sub-committee approval. For some, consideration of B-Corp certification with a strong gender lens might be a good option to embed gender impact long-term and send a strong signal to the market, attracting aligned investors.
- Make the entire HR framework from recruiting to promotion and compensation gender-smart.
- Embed gender-smart and sex-disaggregated data in management systems to enable gender-smart decision-making, steering towards gender outcomes, monitoring of progress (→ See [A Fund Manager's Guide to Gender-Smart Investing](#) and [SEAF Gender Equality Scorecard](#)) Measure the cost of GBVH to quantify the value of a best-in-class GBVH management system.
- Explore ways to link gender-smart outcomes to Management Incentive Plan. Tie employee stock ownership plan (ESOPs), company bonus pool, and - in case of debt – interest rate rebate to gender KPIs / milestones. Establish pre-agreed terms for follow-on rounds tied to the achievement of gender-smart milestones; Similarly an LP may tie the likelihood of investing in the GP's subsequent fund based on gender KPIs/milestones achieved in the present fund.

### 4. AT THE TIME OF EXIT

Incorporate a gender action plan into your standard value creation process.

- Calculate the return on investment for gender outcomes with a link to commercial KPIs. By doing so demonstrate to potential buyers that:
  - the company's commitment and performance on gender equality measures is a downside protection and is a value driver that can potentially contribute to increased valuation.
  - the company's performance on gender equality measures is a premium asset.
  - the institutionalization of gender commitments across the company's operations and culture (gender-smart systems, processes, people and practices) will continue to perform and deliver value.
- Prepare gender analysis and reports proactively to demonstrate to potential buyers how gender-smart practices are a value-add. Ideally link the gender-smart impact memo to financial performance.
- Ask buyer to continue the gender action plan if outcomes haven't been fully achieved or encourage buyer to create a new gender action plan as part of their value creation plan for the company to further improve and stay or become best-in-class on gender.

# Principle 2: We will stand behind the female founders and the leadership team. *(internal)*

## Actionable Guidance

### 1. PRE-INVESTMENT

Protect founder's interest in the cap table, and create diversity in leadership and ownership with intentionality

- Intentionally source gender-smart companies. Back female and gender-diverse co-founding teams and leaders, and intentionally address unconscious bias in deal origination.  
(→ See [A Fund Manager's Guide to Gender-Smart Investing](#))
- Consider and advise the founders/leadership on classes of shares that help preserve the influence and ownership of female founders.
- Develop a shared understanding of the investee's vision, growth plans and likely exit routes; challenge taken-for-granted assumptions of what a 'desirable' exit is and ensure genuine alignment.
- Consider the right financial and investment instruments aligned with the founder's / leadership's vision for the company
- For LPs:
  - Discuss carry allocation to women on the fund manager team, GP ownership allocation, IC composition
  - Be aware of GBVH, especially sexual harassment of other potential LPs against female GPs and team and the particular sensitivities around this

### 2. AT THE TIME OF INVESTMENT

Protect founder's interest in the cap table, and create diversity in leadership and ownership with intentionality

- Conduct due diligence with a gender lens; pay attention to 'valuing' vs. 'counting' women, mission alignment and culture
- Reflect on power dynamics that may lead to gender bias in negotiation outcomes
- Challenge the division of ownership and contributions among co-founders and influence corrective action if necessary. Recap if the previous investors or male co-founders have a big chunk of the cap table relative to the female founder in-line with her role and responsibilities
- Challenge gender-bias in valuation at entry; go the extra mile to challenge assumptions in valuation models with a gender lens
- Be creative about sustaining female ownership over the company's different stages of growth
- Don't handcuff the female founder/leader and also don't pressure her out of the company



# Principle 2: We will stand behind the female founders and the leadership team. *(internal)*

## Actionable Guidance

### 3. DURING INVESTMENT

Protect founder's interest in the cap table, and create diversity in leadership and ownership with intentionality

- For following rounds, consider share classes with differential voting rights, well-designed anti-dilution provisions or incentives for founders/management to increase or earn back equity. Be cautious about replacing female founders' real equity with ESOPs that have no rights attached.
- Be a strategic thought partner and advisor to management to plan funding rounds, be creative in instruments (e.g. revenue-based bridge rounds)
- Ensure adequate representation of the founder and team on the Board  
Tap into diverse talent pools and networks for Board candidates such as TheBoardroom Africa.
- Challenge gender bias and stand behind the female founder/CEO when the press or other stakeholders make biased, unfair or unfounded allegations

Manage founder/CEO transition responsibly, ensuring fair outcomes for the female founders and the leadership team at exit.

- Create a skills matrix to objectively determine if the founder/CEO can be upskilled to stay in the CEO position over different stages of growth if she wants. Build an 'army of strategic advisors/experts' around her as you would do if she were a 'male founder genius'.
- If a founder/leader transition is necessary, make sure the succession planning and recruiting process is gender-smart. CEO replacement shouldn't equate to diversity loss at the leadership level.
- Aim for mutual transitions. Support the founder/leader in making the right decision and ensure an optimal outcome allowing her to keep influence (e.g. on the board).

### 4. AT THE TIME OF EXIT

Protect founder's interest in the cap table, and create diversity in leadership and ownership with intentionality

- Go the extra mile to find an aligned buyer. Ensure a fair outcome for the female founder/ other female owners and for the diverse leadership. If the female founder/owners exit and/or the female leadership does not continue, explore ways with the buyer to ensure continuity of gender diversity in ownership and leadership
- Consider management/employee buyout as an option and provide support to make it happen

Manage founder/CEO transition responsibly, ensuring fair outcomes for the female founders and the leadership team at exit.

- Ensure fair outcomes for female founder/ other female owners, both in terms of financial gain and influence
- LPs: Assess and fully understand the impact and potential unintended consequences of any changes in your institutional mandate on priorities at investee level including gender outcomes. Critically reflect on the pressure you may be exerting on GPs to exit at a specific time or at founder-unfriendly terms.
- GPs: Manage change in responsibility among investment professionals for a certain investee responsibly, especially when this leads to changes on the Board. Pay particular attention to how this may affect gender dynamics and outcomes, during investment and at exit.



# Principle 2: We will stand behind the female founders and the leadership team. *(internal)*

## Actionable Guidance

### Proactively address founder dilution and structure ratchets tied to gender KPIs/milestones

Investors can proactively address the challenge of founder dilution by structuring in ratchets which adjust the entry share price (or in the case of convertible notes the discount on the entry share price) if gender KPIs or milestones are met.

In the case of equity, the ratchet could be structured in such a way that the effective entry share price is tied to the achievement of gender KPIs or milestones over a defined time period (e.g. 12-24 months). If these KPIs/milestones are met, the ratchet resets the entry price, reducing the dilution of the founder's ownership percentage.

In the case of a convertible note, if the gender KPIs/milestones are achieved within the defined timeframe, the note converts at a lower discount to the next round of financing,

Adjusting the discount for convertible notes should the investee company achieve its gender-based milestones. In this case, a convertible note converts at a smaller discount to the next funding round, reducing the dilution of the founder's ownership percentage.

Source: [A Fund Manager's Guide to Gender-Smart Investing](#)

# Principle 3: We will challenge gender biases in valuations of the female economy. *(external)*

## Actionable Guidance

### 1. PRE-INVESTMENT

Scrutinize gender biases in valuation at entry and at exit, critically assess assumptions in valuation models with a gender lens

- Expand your horizon of 'investable sectors' and market opportunities, and open up your sourcing channels to receive more diverse pipeline
- Scrutinize gender bias in estimations of the market size of underfunded sectors of the female economy; advocate for gender diverse investment decision-makers with relevant sector expertise to adequately assess the value proposition and market opportunity
- Help create data transparency for founders on valuations to counter bias with data and ensure female founders get market terms

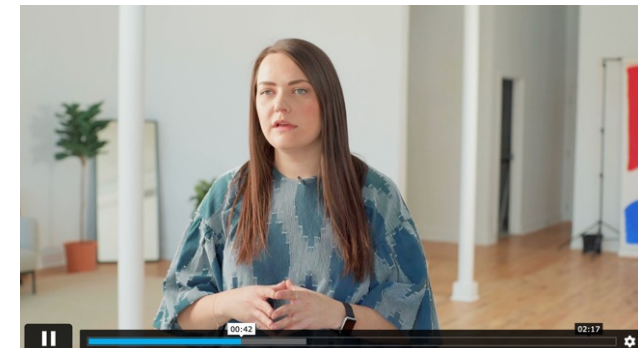
### 2. AT THE TIME OF INVESTMENT

Advocate fair valuation of businesses in the female economy.

- Align with co-investors on key aspects of the business model, strategy, value creation, and exit scenarios with a gender lens
- Consider which sector/thematic experts and diverse perspectives have a keen understanding of the value of the female economy and can unlock opportunities

Consider using the Candor Clause approach ([see Box](#)) which entrepreneurs/ investees can propose to their potential investors directly, ideally through their lead investor who should know this clause and proactively suggest it.

<https://soona.co/candor-clause>



# Principle 3: We will challenge gender biases in valuations of the female economy. *(external)*

## Actionable Guidance

### 3. DURING INVESTMENT

#### Advocate fair valuation of businesses in the female economy.

- Leverage influence as an existing investor to find aligned co-investors for following rounds, challenge gender-bias in valuation and terms at each round and pay attention to female founder's ownership dilution to ensure fair terms
- Educate the market about the business opportunity and market size of underfunded sectors of the female economy

### 4. AT THE TIME OF EXIT

#### Scrutinize gender biases in valuation at entry and at exit, critically assess assumptions in valuation models with a gender lens

- Challenge gender-bias in valuation at exit
- Go the extra mile to build relationships with prospective buyers early on and (if necessary) educate them on the business opportunity and market size of the female economy
- Make a compelling case to buyers about the value of the female economy in the case of this specific company, based on gender-smart data of the company collected and analyzed over your holding period



Investment banks are in a unique position of having access to privileged information regarding valuation. They are most likely to spot gender bias in valuations and should be aware of the issue to advise their clients accordingly, as it is in their best interest to make an unbiased and competitive bid.

# Principle 4: We will ensure buyer's gender alignment at the time of exit. *(external)*

## Actionable Guidance

### 1. PRE-INVESTMENT

Explore ways to bring women on the cap table and consider management/employee buyout as an option

- At GP level: Explore innovative ways to bring in women LPs by e.g. pooling smaller tickets

### 2. AT THE TIME OF INVESTMENT

Seek out buyers who are committed to gender-smart investing and conduct due diligence with gender lens.

- Conduct an initial assessment of GLI aligned co-investors for follow-on rounds and exit routes, and develop a high level plan on how to build relationships early on. This may include strategies to educate the market and build the investment and business case for a strong gender lens.

# Principle 4: We will ensure buyer's gender alignment at the time of exit. *(external)*

## Actionable Guidance

### 3. DURING INVESTMENT

Seek out buyers who are committed to gender-smart investing and conduct due diligence with gender lens.

- Aim to intentionally attract buyers who are committed to gender-smart investing and actively monitor the market for aligned buyers well in advance of your exit horizon  
(→ Refer to [Project Sage](#) for size of the private market and [Veris Wealth Partners](#) for public markets; Funds who have made the [Beyond The Billion pledge](#))
- Make investees and investors aware of gender-smart trends at major stock exchanges globally increasingly requiring gender diversity policies, corporate governance provisions and reporting, and prepare companies well in advance

Explore ways to bring women on the cap table and consider management/employee buyout as an option

- Explore creative ways to bring women on the cap table
- Consider management or employee buyout as an exit option and be creative about funding mechanisms

### 4. AT THE TIME OF EXIT

Seek out buyers who are committed to gender-smart investing and conduct due diligence with gender lens.

- Simple rule of thumb: Don't sell to anyone you wouldn't invest in. Make sure your DD on buyers at exit is as rigorous as your DD on the company at entry.
- Consider a two-stage screening process for potential bidders, with the first stage focusing solely on non-financial criteria. Screen out buyers that pose a risk to gender-smart impact continuity and then evaluate in stage two all bids financially.
- Assess buyers against the 2X criteria and ask for their own internal gender diversity, gender-smart policies and practices; assess the buyer's culture.
- Choose an aligned buyer; understand the details of the buyer's rationale for purchase and assess how this may impact on gender outcomes achieved
- Conduct explicit DD on gender risks and the background of prospective buyers (e.g. accusations of GBVH, treatment of female leadership and staff in previous/current investees, how they have handled previous acquisitions, etc.)
- Exit at the right time, i.e. when both financial and gender objectives have been achieved and a suitable exit opportunity is on the table. (Have the gender outcomes of your investment been achieved? Are they institutionalized to be sustained beyond exit? Which exit options add long-term value and allow the company to achieve long-term success with a strong gender lens?)